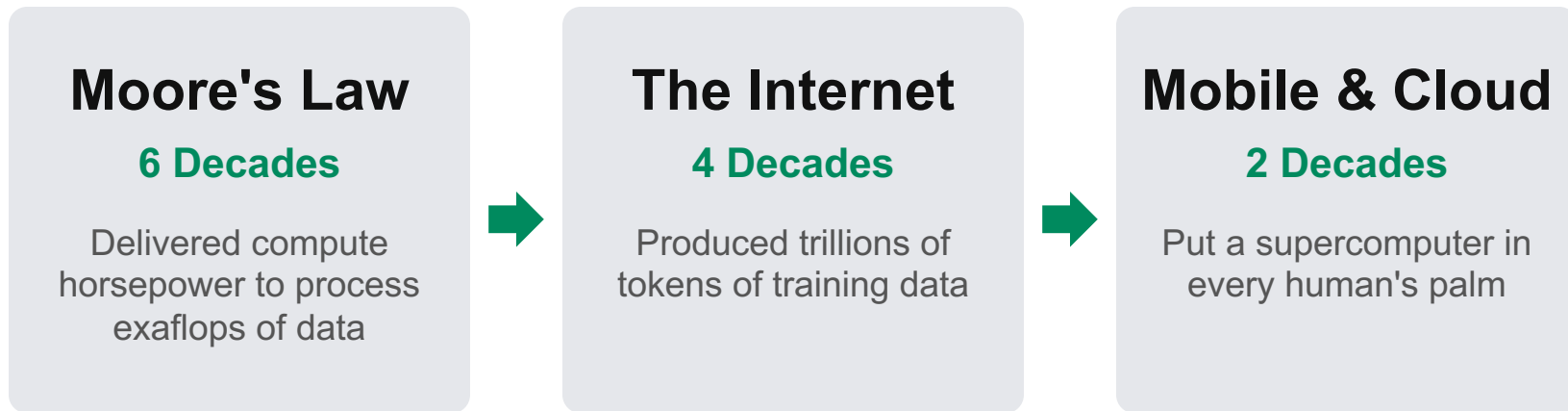


Generative AI's Act Two: From Technology Hammer to Real Value

Sequoia Capital Analysis

September 2023

Six Decades of Technological Progress Converged to Enable Generative AI



GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Generative AI reached \$1B in startup revenue in months, a milestone that took SaaS years to achieve.

ChatGPT

Fastest-growing application in history with strong PMF among students and developers.

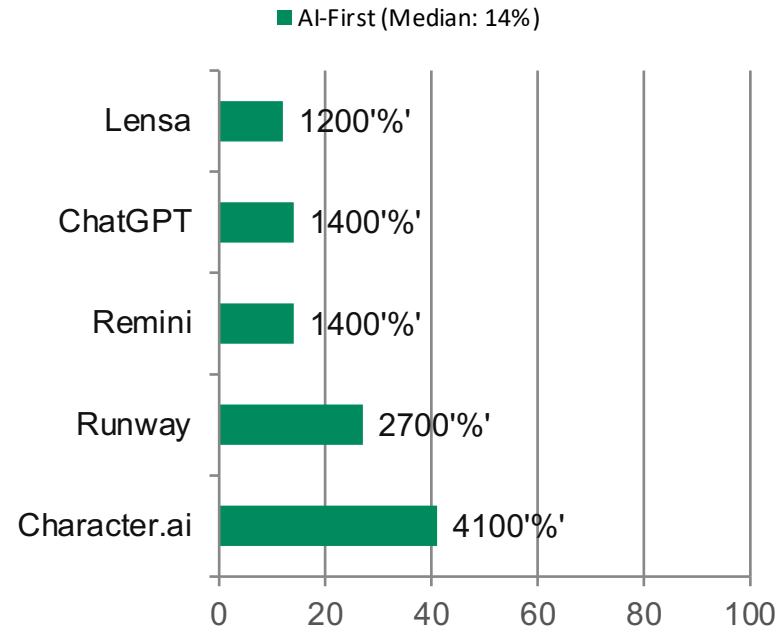
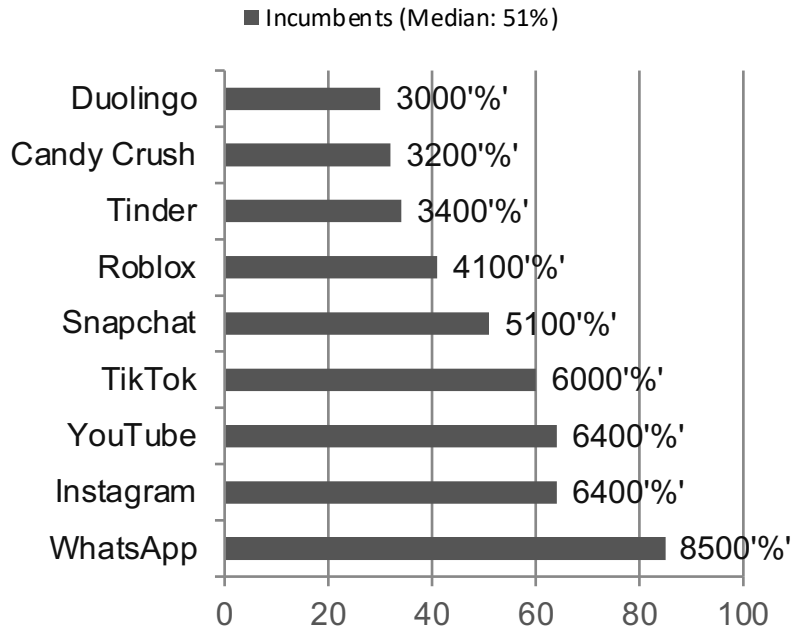
Midjourney

Reported hundreds of millions of dollars in revenue with a team of just 11 people.

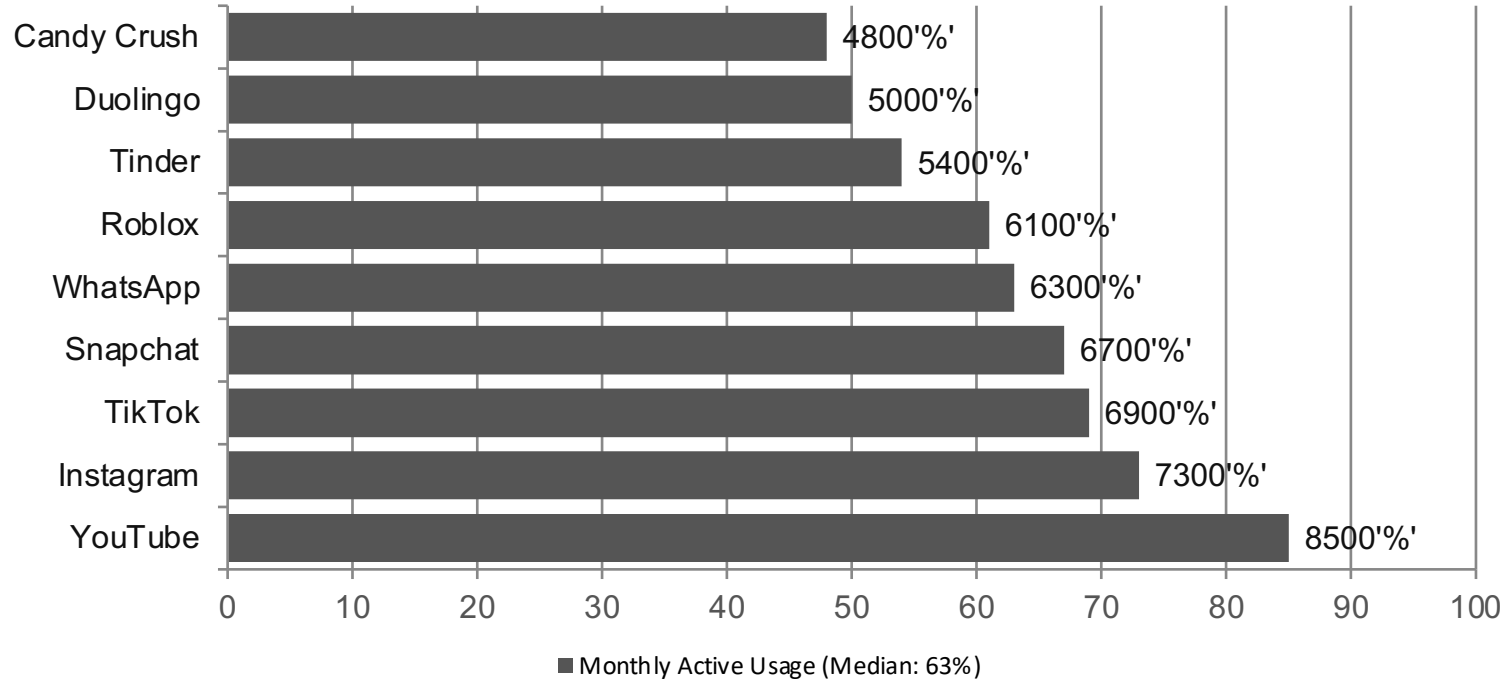
Character.ai

Popularized AI companionship. Users spend an average of 2 hours per session in-app.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- • Foundation models as the entire solution
-
- • Novelty demos and lightweight wrappers
-
- • Lack of stickiness; poor user retention
-
- • "Technology hammer" looking for a nail

Act 2: Customer-Back

- • Foundation models as a piece of a comprehensive solution
-
- • New editing interfaces and multi-modal workflows
-
- • Solves human problems end-to-end
-

Market Map Reorganized by Use Case, Not Model Modality

The conceptual shift reflects the evolution from technology hammer to actual value delivery.

From Modality to Use Case

No longer categorized simply by text, image, or code. The market map is now use-case driven.

Multi-Modal Applications

Applications increasingly span across modalities, blending text, image, and voice seamlessly.

Act 2 Exemplars

Harvey (Legal), Glean (Enterprise Search), Character & Ava (Companionship) illustrate this shift.

Key Takeaways: What Separates Winners in Act Two

1. Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents.

2. Foundation models should be a component, not the whole product.

3. Multi-modal, workflow-integrated solutions will win.

4. The \$1B+ revenue milestone proves real demand exists despite hype cycles.

5. Companies solving end-to-end human problems will define Act 2.
